Question 2

a) Price Elasticity Demand (PED) $= \dfrac{\%\Delta Q}{\%\Delta P} \longleftarrow (1)$

$\%\Delta Q = \dfrac{10000}{55000} \times 100$

$= \dfrac{1000}{55}$

$= 18.18\%$

$\%\Delta Q = \dfrac{\Delta Q}{Q} \times 100$

initial → New

$50000 \rightarrow 60000$

$Q_1 \quad Q_2$

Average Q = 55,000

$= \dfrac{Q_1 + Q_2}{2}$

$\%\Delta P = \dfrac{200}{1100} \times 100$

$= 18.18\%$

$P_1 \quad P_2$

$1200 \longrightarrow 1000$

Averag P = 1100

$\dfrac{P_1 + P_2}{2}$

(1) →

$PED = \dfrac{18.18\%}{18.18\%}$

$= 1$

PED = 1 ∴ unit elastic (unitary)

Total revenue remains unchanged when price changes.

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b)

Cross Elasity of Demand (XED) $= \dfrac{\% \Delta Q_{\text{StreamFlix}}}{\% \Delta P_{\text{Netflix}}}$

Streamflix subcribers increase + 18.18%.

$$XED = \frac{18.18\%}{-5\%}$$

$$= -3.64$$

XED < 0 (XED is negative) . therefore suggestes the services are complement. (No relationship)

c)

Income Elasity demand (YED) $= \dfrac{\% \Delta Q}{\% \Delta Y}$

$$= \frac{20\%}{12\%}$$

$$= 1.667$$

YED > 1 therefore this is ~~normal~~ luxury good ∴ Demand is highly responsive to income Change.

d) Pricing strategy

PED = 1 , then price change won't increase revenue significantly . therefore this is not affected

Competitive strategy

There is no relation . Two product are not supstitute.